Kena

SECTOR INVESTMENT REPORT · ETHIOPIA

# Ethiopia economy and return benchmarks

Opportunities, published returns, incentives and risks, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Kena · Building Trust in Every Deal
Erudite Africa Investments PLC · Addis Ababa

Updated October 16, 2026
Refreshed monthly

## — Executive summary

Ethiopia's real GDP grew 9.2 percent in FY2024/25 under an IMF-supported reform program that moved the birr to a market-based exchange rate in July 2024 and introduced an interest-rate-based monetary policy framework. Inflation has fallen from 26.6 percent on average in FY2023/24 but rose again to 13.4 percent in May 2026, and the National Bank of Ethiopia raised its policy rate by 1 percentage point in July 2026. FDI reached a reported USD 4.32 billion in FY2025/26, while public debt is still assessed as in distress pending completion of the restructuring.

REAL GDP GROWTH

**9.2 percent (FY2024/25); IMF projects 7.8 percent for FY2025/26 and 8.2 percent for FY2026/27**

REAL GDP GROWTH PROJECTION (NBE)

**10.2 percent projected for FY2025/26**

HEADLINE INFLATION (YEAR-ON-YEAR)

**13.4 percent (food 15.0 percent, non-food 11.1 percent), up from 11.7 percent in April 2026 and 9.7 percent in December 2025**

AVERAGE INFLATION (IMF)

**26.6 percent (FY2023/24), 16.0 percent (FY2024/25), 11.7 percent (FY2025/26 est.), 12.3 percent (FY2026/27 proj.)**

## 01 Key indicators

| Indicator | Value | Period |
|---|---|---|
| Real GDP growth | **9.2 percent (FY2024/25); IMF projects 7.8 percent for FY2025/26 and 8.2 percent for FY2026/27** | FY2024/25 actual; FY2025/26-2026/27 projections |
| Real GDP growth projection (NBE) | **10.2 percent projected for FY2025/26** | FY2025/26 |
| Headline inflation (year-on-year) | **13.4 percent (food 15.0 percent, non-food 11.1 percent), up from 11.7 percent in April 2026 and 9.7 percent in December 2025** | May 2026 |
| Average inflation (IMF) | **26.6 percent (FY2023/24), 16.0 percent (FY2024/25), 11.7 percent (FY2025/26 est.), 12.3 percent (FY2026/27 proj.)** | FY2023/24 to FY2026/27 |
| Exchange rate regime and level | **Market-based exchange rate system since July 29, 2024; weighted average rate at the May 19, 2026 NBE FX auction 159.63 ETB per USD; parallel market spread 10-20 percent since October 2025, about 11 percent in late May 2026** | July 2024 to May 2026 |
| Foreign direct investment inflows | **USD 4.32 billion, up 8 percent from the previous year (EIC figures)** | FY2025/26 |

© 2026 Erudite Africa Investments PLC

| Indicator | Value | Period |
|---|---|---|
| Gross reserves | **2.1 months of imports (FY2025/26), projected 2.7 months (FY2026/27), up from 0.7 months in FY2023/24** | FY2023/24 to FY2026/27 |
| Debt and credit standing (IMF assessment) | **Debt 'continues to be assessed as unsustainable and in distress'; restructuring aims to improve the rating to moderate risk by end of program; agreement-in-principle reached with Eurobond holders** | June-July 2026 |

## 02 Returns and yields

| Measure | Value | Period | Basis |
|---|---|---|---|
| NBE policy rate (National Bank Rate) | **16 percent** | As displayed on NBE homepage, accessed 2026-10-16 | Central bank policy rate; standing facilities at NBR plus or minus 3 percentage points |
| Policy rate decision | **Raised by 1.0 percentage point (from the initial 15 percent set in July 2024 and held through March 2026)** | July 2026 (MPC No. 7) | MPC decision; prior level of 15 percent per NBE framework announcement and IMF staff report |
| Treasury bill weighted average yield, all tenors | **12.3 percent (down from 15.5 percent a year earlier)** | May 2026 | Weighted average yield on all Treasury bills |
| 91-day Treasury bill yield | **11.0 percent (down from 16.1 percent a year earlier)** | May 2026 | Weighted average yield, 91-day T-bill |
| Treasury bill yield on new issuance (IMF) | **14.4 percent, down from 16.7 percent in December 2025** | April 2026 | Weighted average rate on new T-bill issuances |
| Interbank rate (7-day) | **14.6 percent, down from about 18.0 percent in March 2026** | May 2026 | 7-day interbank weighted average rate |
| Commercial bank long-term lending rate | **18 percent (June 2025); 17.9 percent (September 2025)** | June and September 2025 | Weighted average long-term lending interest rate of commercial banks |
| Average lending and deposit rates | **Average lending rate 15.0 percent (range 7.0-23.0 percent); weighted average time deposit rate 7.8 percent; average savings rate 8.0 percent** | Q1 FY2024/25 (July-September 2024) | Interest rate structure of the banking system, NBE Table 4.4 |

Benchmark yields and rates above are published by the National Bank of Ethiopia and the IMF; NBE liberalized deposit and lending rates in January 2026 (no floors or caps), so the Q1 FY2024/25 average

© 2026 Erudite Africa Investments PLC

lending and deposit rates are the latest full interest-rate structure we found.

## 03 Investment opportunities

- **Agriculture.** EIC priority sector: 'The opportunity to serve a growing domestic food market.'
- **Manufacturing.** EIC priority sector ranging from light manufacturing to food and beverages.
- **Mining.** EIC priority sector, promoted as a high-potential mining destination.
- **ICT.** EIC priority sector leveraging a growing, tech-savvy local talent pool to serve the global market.
- **Tourism.** EIC priority sector, marketed as 'the land of origins'.
- **Energy, health, transport and logistics.** Listed by EIC as other sectors of opportunity: electricity for a large unserved population, an underserved healthcare sector, and logistics for a landlocked country.

## 04 Incentives

- Investors establishing a new enterprise are entitled to an income tax exemption, with length depending on sub-sector, export volume and location; losses during the exemption period can be carried forward.
- Duty-free import of capital goods and construction materials for new or expanding enterprises.
- Capital repatriation and remittance of dividends and interest are guaranteed to foreign investors under the Investment Proclamation; minimum foreign investment capital is USD 200,000 (USD 150,000 in a joint venture with a domestic investor).
- FX liberalization continued in July 2026: the FX commission was reduced from 2.5 to 1.5 percent and the export surrender requirement on goods from 50 to 30 percent.

## 05 Risks to consider

- Inflation rebounded to 13.4 percent in May 2026 from 9.7 percent in December 2025, prompting a 1 percentage point policy rate increase; the IMF says NBE should be ready to tighten further.
- Public debt remains assessed by the IMF as unsustainable and in distress until the restructuring is complete; some Eurobond holders' committee members indicated they intend to pursue legal action.
- The parallel market exchange rate spread has fluctuated between 10 and 20 percent since October 2025, and the birr depreciated about 1.3 percent per month.
- The IMF brought forward about USD 200 million to address pressures from the war in the Middle East, especially higher fuel import costs.

**References for members.** Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Kena members on the platform.

© 2026 Erudite Africa Investments PLC

Prepared by Erudite Africa Investments PLC for Kena, Addis Ababa · contact@ebba.et · Registration no. MT/AA/2/0063282/2018. This publication summarizes information published by international institutions and the Government of Ethiopia for general guidance only. It is not investment, legal or tax advice, nor an offer of securities. Reported returns do not guarantee future results. Verify figures against the original documents before making decisions.

© 2026 Erudite Africa Investments PLC